Telco Customer Churn Analysis

7,043 customers : Drivers of churn, customers at risk, and the value of a retention offer

Contract
- Month-to-month
- One year
- Two year

Internet Service
- DSL
- Fiber optic
- No

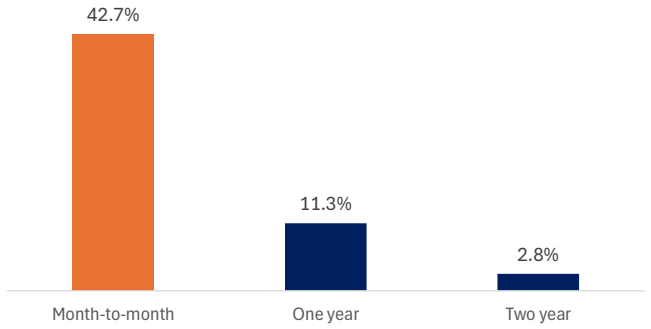
Payment Method
- Bank transfer (automatic)
- Credit card (automatic)
- Electronic check
- Mailed check

Source : IBM Telco Customer Churn sample (7,043 customers, one quarter)

7,043	26.5%	$1.67M	628	+$74.8K
Customers	Churn Rate	Revenue Lost (Year)	High-Risk Customers	Offer Net Gain (Year)

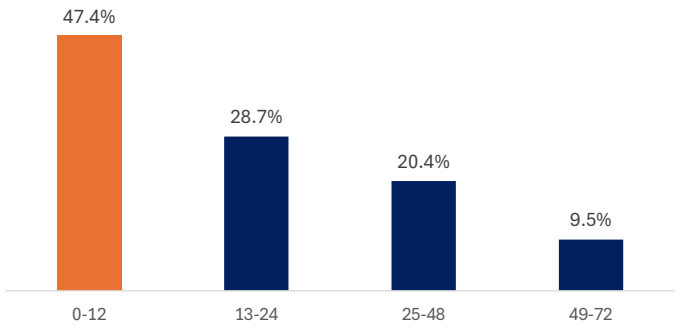
Churn Rate by Contract Type

Month-to-Month : 42.7% vs. Two-year : 2.8%



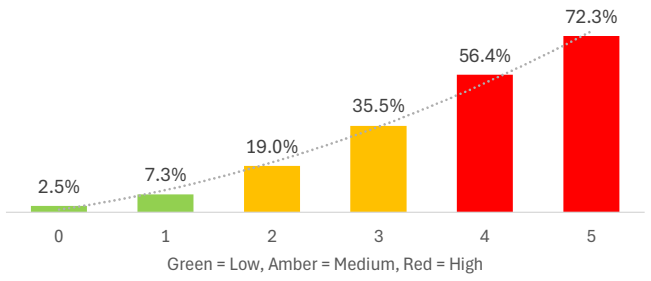
Churn Rate by Customer Tenure

First-year Churn of 47.4%, declining to 9.5% after four years



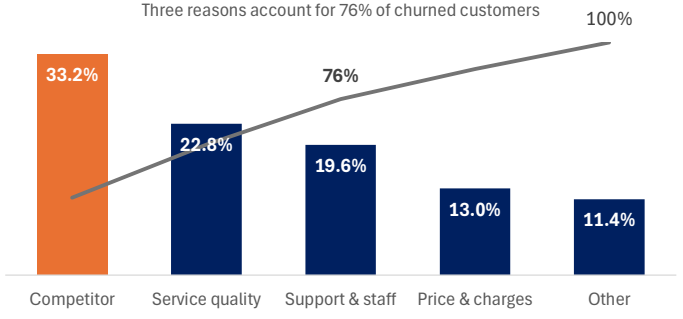
Churn Rate by Risk Score

Validated : Churn increases with every additional risk factor



Primary Reasons for Churn

Three reasons account for 76% of churned customers



Key Findings

- Month-to-month: 42.7% churn vs 2.8% on two-year
- 47.4% of first-year customers leave
- Fiber churns 2× DSL on every contract type
- Top 3 reasons = 76% of churn; competitors lead (33%)
- 628 high-risk customers hold $595K/yr.

Recommended Actions

1. 10% offer to switch to a 1-year contract (+$74.8K/yr)
2. Better onboarding and tech support in year 1
3. Match competitor fiber speed and data
4. Retrain support staff (the top single reason)

Correlations, not causes. Pilot before rollout.